EQUITY RESEARCH · COMPANY DEEP DIVE

Meta Platforms, Inc. (META.US)

Communication Services · Internet Content & Information

Large Cap (>$200B) · Report Date: October 12, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-12

HOLD

Composite · Valuation: UNDERWEIGHT

Target $698.71 · -6.0% upside

Price $742.96

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target $698.71 (-6.0% vs $742.96); Comps 85% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT $698.71	45%
FSA	Strong	Health +0.40 · Strong	20%
Technical	BULLISH	Bullish · Golden Cross	20%
Quantitative	NEUTRAL	Score +0.20 · 12m +6%	15%
Composite	HOLD	Score +0.11 · 75% confluence	—

Recent golden cross; valuation rich but trend improving — wait for confirmation; solid financial statement profile.

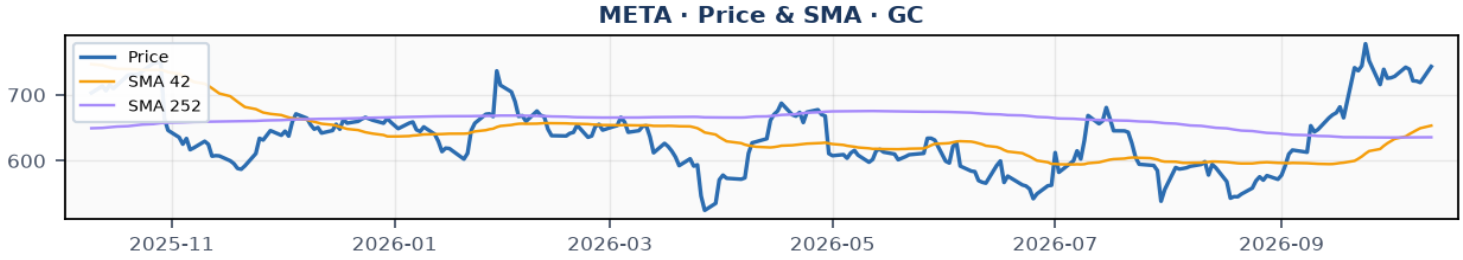
INVESTMENT THESIS / EXECUTIVE SUMMARY

Meta Platforms, Inc. (META) — Communication Services. Meta Platforms, Inc. engages in the development of products that enable people to connect and share with friends and family through mobile devices, personal... **UNDERWEIGHT** rating; blended target $698.71. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$1.89T	Shares Out.	2205.1M
52-Week Range	$520.26 – $779.82	P/E (TTM)	28.0x
P/B	7.2x	Beta	1.19
Avg Volume	18.63M	Analyst Rec.	Strong Buy
Revenue (TTM)	$228.25B	Rev Growth	+28.0%
Op. Margin	34.8%	FCF (TTM)	$46.11B
Gross Margin	81.7%	ROE	29.8%
EV/EBITDA	16.9x	Debt/Equity	43.0%
EPS (TTM)	$26.54	Div Yield	29.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	164,501	200,966	257,236	309,584	356,006
Revenue Growth (%)	N/A	22.2%	28.0%	20.3%	15.0%
Net Income ($M)	62,360	60,458	77,386	93,134	107,100
Gross Margin (%)	81.7%	82.0%	81.7%	81.7%	81.7%
Net Margin (%)	37.9%	30.1%	30.1%	30.1%	30.1%
EPS ($)	28.28	27.42	35.09	42.24	48.57
P/E (x)	26.27	27.10	21.17	17.59	15.30

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$653.30	Short-term trend	12m Momentum	+5.7%	
SMA (252d)	$635.67	Long-term trend	3m Momentum	+9.1%	
RSI (14d)	51.6	Momentum oscillator	Ann. Volatility	45.3%	
Trend	Bullish		Sharpe Ratio	0.32	Rf=4%
Golden Cross (20d)	Yes	Golden Cross	Max Drawdown	-74.4%	
Death Cross (20d)	No	5d ago	Rel. Strength vs SPY	+40.0%	
TA Signal	BULLISH	Golden Cross within last 20d (SMA42 > SMA252); SMA42=$653.30, SMA252=$635.67	Quant Score	+0.20	NEUTRAL
			SMA Backtest (ann.)	38.3%	B&H; 56.2%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$489.35	-34.1%	—	Not in blend
Comps — Blended	$681.01	-8.3%	85%	Included in blend
Analyst consensus	$799.00	+7.5%	15%	Included in blend
Blended target	$698.71	-6.0%	100%	Comps 85% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
10.52%	4.00%	12.00%	$1.08T	$489.35	-34.1%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
GOOGL	Alphabet Inc.	$4.31T	17.7x	24.2x	54.8%	+24.2%
NFLX	Netflix, Inc.	$294.02B	22.2x	20.4x	28.2%	+13.4%
DIS	Walt Disney Company (T	$187.33B	22.4x	11.2x	8.7%	+6.8%
SNAP	Snap Inc.	$11.04B	N/A	-82.7x	-4.9%	+18.9%
META*	Meta Platforms, Inc.	$1.89T	28.0x	16.9x	29.8%	+28.0%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (28.0% YoY); High operating leverage (34.8% margin); Sector: Communication Services | Industry: Internet Content & Information · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.